Theory of demand

1.3.2.1 The market · Unit 1 · Mr. Akram — Akademy

Demand is the quantity customers are willing and able to buy at a given price. The demand curve slopes downward. A change in the product's own **price** = a movement along the curve; a change in a **non-price factor** = a shift of the whole curve (right = increase, left = decrease).

Non-price factors that shift demand

- **Incomes** — normal good: demand rises with income; luxury: rises more than proportionally; inferior: demand falls as income rises.
- **Tastes, fashion & preferences** — e.g. the rise of healthy products.
- **Advertising & branding** — raises demand and loyalty.
- **Demographics** — population size/structure, e.g. ageing population.
- **Seasonality** — e.g. a holiday park busy in summer.
- **External shocks** — e.g. a pandemic.
- **Substitutes & complements** — price changes in related goods shift demand.